

Meta's date with data

META IS IN A FUN PLACE but Zuckerberg sure isn't. When Meta revealed that they had started losing daily active users for the first time since the company put out Facebook, their stocks took a historic tumble. In a way, they set two records that day. Facebook has been around for 18 years, so the fact that they managed to keep growing at a breakneck pace for 18 years and had managed to get 2.9 billion monthly active users is something that we're not going to see that often. That's roughly 38 per cent of the human population. And the second record is when their stock tumbled and wiped out 200 billion dollars from its market value. They say all good things come in twos...

Now Meta is poised to be one of the biggest proponents of the Metaverse – a concept that's all about creating a persistent virtual world that mirrors a lot of what we have in real life. Most companies raving about the metaverse and claiming to be metaverse companies are, in fact, nowhere close to realising the true metaverse. A simple 3D simulation for a few days is not the metaverse. Making a small 3D virtual space where you can watch a pop singer belt out a few of his chartbusters, is not the metaverse. Even the most popular offerings which come close to the metaverse offer absolutely pathetic experiences. The closest to the metaverse that we're going to experience for a long time would be your favourite MMO, second life or the perpetually in-development Star Citizen. These offer persistent worlds that offer a lot of different experiences and have established economies. And that's unlike any of the popular metaverse platforms such as Decentraland or The Sandbox.

Proper implementation of the metaverse requires ridiculous amounts of computing resources since persistent worlds would mean that you cannot perform power optimisations that easily. It requires a way for real-world assets to be digitized without ending up as a total scam that NFTs are at the moment. It requires a digital currency platform that is universally accepted. And the most important thing would be that it shares data across large geographies from one host nation to another.

If the metaverse, like it has been envisioned by geeks, has to be built then we'll

need hundreds of thousands of servers distributed globally with fast and high-capacity data lines interconnecting them all. These servers will host different aspects of the metaverse and even act as backup mirrors. If you wish to travel from one location to another in the metaverse, you'd ideally want to carry your personal belongings with you. Or if you've built your avatar and digital self while studying abroad and wish to bring it all back, then you should be able to. Now, you might be wondering that this is a rather silly comment to make. Why should it be difficult for digital objects to be transferred over the internet? Don't we do that every day already?

This is where data localisation laws come into the picture. Increasingly, countries have started taking cognisance of the fact that major tech websites have been making money off their users' data without any regard for privacy. So data localisation laws have been enacted to force tech companies to store the data of their users in data centres situated within the individual user's home country. This is a great move for privacy since all the ad targeting can no longer cross boundaries. Then again, there are very few brands that do target international customers.

As for the metaverse, this is an odd predicament since it requires personal data to easily traverse boundaries. You could be in the US with all your data being sourced from a server in India. There's no telling how this would affect your experience. You could move about in real-time but your clothes might take 200 milliseconds to be fetched from India. If you can run fast enough, would you end up being temporarily nude in the metaverse? Excuse the poor attempt at reductio ad absurdum but it's starting to seem as if we might need to rethink data privacy and localisation laws in a way that not only protects users' privacy but also allows for innovations to thrive.

Recently, Meta threatened to shut down Facebook and Instagram in Europe because of the EU's strong data privacy laws. For a company that just saw USD 200 billion get wiped out because it logged one million fewer daily active users, it seems to be a rather empty threat. And even if they are serious about terminating services in certain geographies, what does that spell for the metaverse? **d**



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